

McDonald's Corporation

Earnings can grow without more guests, for now. The price reflects most of it.

Analyst: William Challma | Initiation of coverage | Prices as of the 24 September 2026 close

Investment summary

We initiate at Hold with a \$249 target price, 4.9% above the \$237.02 close. Adding the 3.3% dividend yield gives an expected total return of 8.1%, inside our Hold band (Buy at +10% or more, Sell at -10% or worse). Our DCF (\$249) and franchise-heavy peer multiples (\$248) agree within 1%; we weight them 60/40.

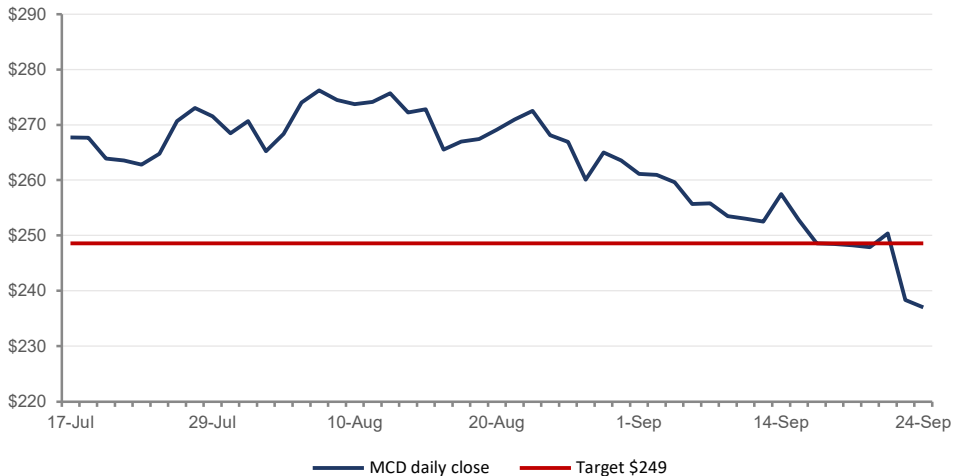
A rent-and-royalty machine. About 95% of McDonald's 45,356 restaurants are run by franchisees, so it earns rent and royalties on \$139bn of systemwide sales, not on visits. That supports a 47% adjusted operating margin and \$7.2bn of free cash flow in 2025.

Why the shares are down 30% from February's \$342 peak. U.S. comparable sales slowed to +0.8% in Q2 2026 with falling guest counts after a poorly executed under-\$3 value menu, and management now expects slightly negative U.S. comps in Q3. The 10-year Treasury at ~5.2% raised the discount rate on a bond-like stock, and Investor Day added an \$8.5bn franchisee support programme (the stock fell 4.8% that day).

Our view: earnings can outgrow traffic until 2027, not forever. New restaurants, refranchising to ~98% by 2028, G&A falling to ~1.9% of systemwide sales and buybacks lift adjusted EPS from \$12.20 (FY25) to \$16.21 (FY30E), 5.8% a year, with no traffic recovery needed. At \$237 the market prices slightly less: comps ~0.7 points a year below our forecast, or 2.3% perpetual growth versus our 2.5%.

What would change our rating. Stable U.S. guest counts in the Q3 results (expected 4 November) would likely move us to Buy; the total return is 1.9 points short. Negative U.S. comps into Q4, or a 10-year yield above 5.5%, would move us toward Sell. Bear and bull cases give \$223 and \$261.

Figure 1: MCD daily close, US\$, 17 Jul to 24 Sep 2026, vs. our \$249 target



Source: Stock Analysis / S&P Global Market Intelligence daily closes; last point is the 24-Sep-2026 close used in this report.

Financial summary and valuation (fiscal year to December)

US\$	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue (\$bn)	25.9	26.9	28.4	28.2	28.2
Revenue growth	1.7%	3.7%	5.5%	-0.5%	-0.2%
Adjusted operating margin	46.3%	46.9%	47.0%	49.5%	51.5%
Adjusted EBITDA (\$bn)	14.1	14.8	15.7	16.3	16.9
Adjusted diluted EPS (\$)	11.72	12.20	12.81	13.54	14.17
EPS growth	-1.8%	4.1%	5.0%	5.7%	4.6%
Dividend per share (\$)	6.78	7.17	7.51	7.80	8.12
Free cash flow, company definition (\$bn)	6.7	7.2	7.1	8.1	8.6
P/E (x)	20.2	19.4	18.5	17.5	16.7
EV / EBITDA (x)	14.6	13.9	13.1	12.6	12.2

Adjusted = excluding restructuring and other special charges. FY27-28 revenue dips because refranchising swaps company-operated sales for rent and royalties. Multiples at the \$237.02 close. Free cash flow = cash from operations less capex. *EV = diluted market cap + fair-value net debt at 30-Jun-26, excluding leases; EBITDA = LTM to Jun-26 (GAAP). **0.41 is MCD's raw 5-year monthly beta, a cross-check; the WACC uses a 0.60 bottom-up beta from franchise-heavy peers (page 4). Market data: Stock Analysis / S&P Global MI, 24-25 Sep 2026. Holders: 2026 proxy and 13F data. Source: company filings, our estimates.

RATING

TARGET PRICE

HOLD

\$249

12-month, blended DCF / multiples

Price (24-Sep close)	\$237.02
Upside	+4.9%
Total return	+8.1%

Key data

Ticker / exchange	MCD / NYSE
Sector	Restaurants
Market cap (diluted)	\$168.2bn
Enterprise value*	\$205.7bn
Diluted shares	709.6m
Free float	706.6m (99.9%)
Avg daily vol. (20d)	5.4m (~\$1.3bn)
52-week range	\$234 to \$342
Beta: raw 5Y / WACC**	0.41 / 0.60
Dividend (forward)	\$7.72 (3.3%)
Net debt / EBITDA*	2.5x
Credit rating	BBB+ / Baa1
Street target (n=35)	\$312 avg.

Major shareholders

Vanguard Group	10.0%
BlackRock	7.3%
State Street	5.1%
All institutions	75.8%
Insiders	<0.1%

Valuation summary

DCF (60%)	\$249
Franchise-heavy multiples (40%)	\$248
Blended target	\$249
Bear / bull case	\$223 / \$261
Price-implied growth	2.3% (vs 2.5%)

A landlord and brand licensor that happens to sell burgers

Business model and competitive position

How McDonald's makes money

McDonald's owns the brand, the operating system and, in its main markets, the real estate; independent operators run 95% of restaurants under two formats.

- **Conventional franchise (U.S. and International Operated Markets, IOM).** McDonald's owns or leases the land and building; the franchisee pays for equipment and decor, then rent plus a royalty, both a share of sales, under 20-year agreements. McDonald's keeps about 14 cents of each U.S. franchised sales dollar and 17 cents in IOM.
- **Developmental licence (IDL, e.g. China, Japan).** The licensee funds everything, including the real estate, and pays a royalty of about 5% of sales.

In FY2025 franchised revenue was \$16.5bn (rent 63%, royalties 36%, fees 1%). After \$2.6bn of occupancy costs the franchised margin was \$13.9bn (84%), about 90% of all restaurant margin dollars. The ~2,000 company-operated restaurants bring in \$9.7bn of sales (36% of revenue) at a 15% margin (U.S. 12% and falling).

FY2025 at a glance

45,356

restaurants in 100+ countries

95%

franchised; ~98% targeted by end-2028

\$139bn

systemwide sales; ~13 cents of revenue per franchised sales dollar

84%

franchised restaurant margin

47%

adjusted operating margin

~220m

90-day active loyalty users (Q2-26); \$40bn of loyalty sales

Revenue and cost drivers

Revenue follows systemwide sales, which grow through comparable sales (guest counts x average check), net new restaurants (~2,100 net openings planned for 2026) and currency. McDonald's captures menu price increases while franchisees absorb food, paper and labour inflation. Its own costs are occupancy, company-operated restaurants and G&A (~2.2% of systemwide sales). Capex (\$3.4bn in 2025, \$3.7-3.9bn guided for 2026) goes mostly into new restaurants.

Figure 2: Segment economics, FY2025 (comparable sales Q2 2026)

Segment	Restaurants	% franchised	Franchised sales (\$bn)	Take rate*	Operating income (\$bn)	Share of op. income	Q2-26 comps
U.S.	13,706	95%	51.9	14.2%	5.81	47%	+0.8%
IOM (e.g. Germany, U.K., France, Australia)	10,845	89%	42.4	17.2%	6.38	51%	+1.5%
IDL & Corporate (e.g. China, Japan)	20,805	99%	35.3	5.4%	0.20	2%	+1.9%
Total	45,356	95%	129.7	12.8%	12.39	100%	+1.3%

*Franchised revenue (rent + royalties + fees) / franchised sales. IDL operating income is shown after corporate costs. Source: McDonald's 2025 10-K, Q2 2026 release.

Industry and competitive position

McDonald's competes in "informal eating out": burger, chicken and taco chains, fast-casual, coffee shops, convenience stores and delivery. The market is mature and growth is check-led, as independent data confirm: Revenue Management Solutions measured Q4 2025 U.S. quick-service sales +1.3% with traffic -2.0% and check +3.3%; 45% of operators surveyed by the National Restaurant Association reported lower traffic in May 2026, the 15th net decline in 16 months; Circana expects under 1% industry traffic growth in 2026.

Moat: scale. 70m+ customers a day, one of the largest loyalty programmes, unmatched buying power, real estate rivals cannot copy, and franchisees who fund most restaurant investment. McDonald's leads in beef but targets +1.5 share points each in chicken and beverages by 2030.

Franchisee health is the buffer. U.S. restaurants average more than \$4m of sales and ~\$500k of operating cash flow (~12.5%); system cash flow is up ~50% since 2019 (Investor Day). Sustained traffic declines would erode that first.

Implication: McDonald's does not need to win on product to earn its rent. It needs traffic to hold up so franchisees stay profitable enough to keep paying it and to fund remodels.

Figure 3: Porter's five forces, quick-service restaurants

Force	Level	Why
Rivalry	High	Mature market, value-led promotions, flat traffic
Substitutes	High	Grocery, convenience, delivery; GLP-1 drugs may cut visits
Buyer power	Medium	No switching cost, price-sensitive; offset by brand and app
Supplier power	Low-Med	Scale buyer; beef and wage inflation land on franchisees
New entrants	Low	Real estate, brand, supply chain hard to copy at scale

Figure 4: Historical operating drivers

Driver	FY23	FY24	FY25	Q2-26
Global comparable sales	+9.0%	-0.1%	+3.1%	+1.3%
U.S. comparable sales	+8.7%	+0.2%	+2.1%	+0.8%
Net unit growth	-	+4.0%	+4.3%	-
Systemwide sales (\$bn)	129.5	130.7	139.4	-
Take rate (franchised)	12.9%	13.0%	12.8%	-
U.S. company-op. margin	15.2%	13.0%	11.6%	-
SG&A % systemwide sales	2.2%	2.2%	2.2%	-
Adj. operating margin	-	46.3%	46.9%	47.7%
Capex % of revenue	9.2%	10.7%	12.5%	-
FCF conversion (co. def.)	86%	81%	84%	-
After-tax ROIC (reported)	25.2%	21.8%	20.3%	-
Net debt / EBITDA	2.6x	2.7x	2.7x	-

Growth has turned check-led and returns are falling as capex rises, while the rent and royalty engine is unchanged. Take rate = franchised revenue / franchised sales. FCF conversion = (CFO - capex) / net income. Source: 10-K 2025, Q2-26 release, our calculations.

Investment thesis: can earnings keep growing while traffic falls?

Yes for the next two to three years, not indefinitely; the share price reflects most of the recovery

1. Near term, yes: the model can tolerate weak traffic for a while

Q2 2026 shows it: diluted EPS rose 6% to \$3.32 while U.S. guest counts fell, because U.S. comps of +0.8% came entirely from check and mix and McDonald's is paid on sales, not visits. Four levers, mostly in management's control, carry EPS to 2030:

- New restaurants add ~2.5% to systemwide sales in 2026-27 and ~2% by 2030; we credit only 1.2-1.5% to revenue, as most openings are IDL units paying a ~5% royalty.
- Refranchising from 95% to ~98% by end-2028 swaps low-margin company sales for rent and royalties: revenue falls ~4.5% in 2027 and 2028, operating income barely moves, margin rises.
- G&A falls from ~2.2% to ~1.9% of systemwide sales by 2030, worth ~\$0.5bn a year by then.
- Buybacks cut the share count ~0.8% a year.

Result: adjusted operating margin rises from 47% to 53% (the low end of management's low-to-mid 50s target) and EPS from \$12.20 to \$16.21.

2. Long term, no: check-led growth has a ceiling

The Q2 traffic miss was a pricing error. Only 60-65% of U.S. restaurants priced the "10 items under \$3" menu as recommended, while digital deals and the \$1 add-on were withdrawn, so the system effectively raised prices for its most loyal customers (about two-thirds of the miss). Management now expects slightly negative U.S. comps in Q3 and calls the recovery "a 2027 story". With industry traffic flat, comps of 3%+ require share gains in chicken and beverages: plausible (the new beverages are ahead of plan, with checks ~50% above average) but unproven at scale. Sustained traffic declines would eventually squeeze franchisee cash flow and, with it, pricing power and unit growth.

Figure 5: Adjusted EPS bridge, FY25A to FY30E

\$ per share	
FY25A adjusted EPS	12.20
Sales growth (at FY25 margin)	+1.89
Margin expansion	+2.02
Buybacks	+0.64
Higher interest cost	-0.35
Tax and other	-0.18
FY30E adjusted EPS	16.21

Margin expansion = refranchising, G&A savings and operating leverage. Source: our model.

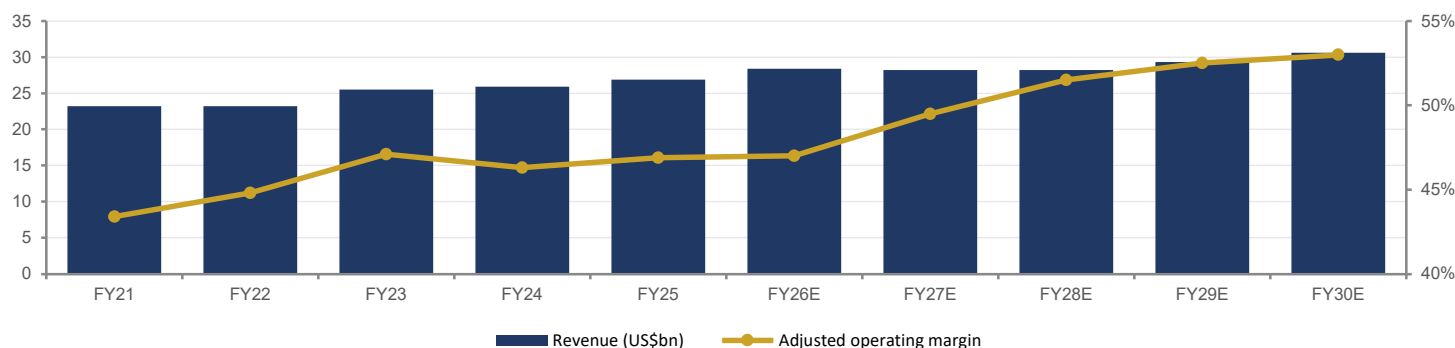
3. What \$237 already assumes

Reverse DCF: what one input must be for our DCF to equal today's price, all else unchanged

- 2.3%** perpetual growth (vs our 2.5%)
- 7.8%** WACC (vs our 7.6%)
- 0.7pp** comps every year vs our forecast

The market prices a slightly weaker recovery than we do, which is why our target sits above the price. The Street is more optimistic still (average target ~\$312). We are more cautious because we treat restructuring as a recurring cash cost (charged every year since 2023: \$362m, \$291m, \$229m, ~\$250m in 2026) and use a 5.2% risk-free rate.

Figure 6: Revenue (US\$bn, bars) and adjusted operating margin (%), FY2021A to FY2030E



FY26E-FY30E = our forecast. FY22 excludes Russia exit charges; FY23 excludes \$362m of restructuring and software charges. Source: company filings, our estimates.

Figure 7: Key forecasts

	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
Comparable sales growth	3.1%	2.0%	2.5%	3.0%	3.0%	3.0%
Refranchising effect on revenue	-	-0.5%	-4.5%	-4.5%	-	-
Capex (\$bn)	3.4	3.8	3.45	3.45	3.45	3.45
Unlevered FCF, DCF basis (\$bn)	-	8.4	9.5	10.0	10.8	11.5
Free cash flow, company definition (\$bn)	7.2	7.1	8.1	8.6	9.4	10.0
FCF conversion, company definition	84%	80%	86%	87%	88%	90%

Unlevered FCF is before interest and feeds the DCF (page 4). Free cash flow = cash from operations less capex; conversion = FCF / GAAP net income, as McDonald's defines it (guidance: low-to-mid 80% in 2026, mid-to-high 80% by 2030).

Valuation: DCF and franchise-heavy peers both point to ~\$249

We weight the DCF 60% and multiples 40%, giving a \$249 target price

Discounted cash flow (60% weight): \$249

We discount unlevered free cash flow for H2-2026 to 2030 plus a terminal value from the 30 June 2026 balance sheet, with mid-year discounting. Restructuring is a cash cost and stock-based pay is not added back. Rent sits inside operating costs, so lease liabilities are not deducted again. The terminal year is normalised: margin 53%, capex at the 2027-30 average of 11.9% of revenue (NEXT support runs to 2036), growth 2.5%.

Beta. We use a 0.60 bottom-up beta from franchise-heavy peers (YUM, QSR, DPZ: at least 90% of restaurants franchised). Each peer's 5-year monthly beta is unlevered at its market debt-to-equity, excluding operating leases as in the DCF; the three are averaged (0.51) and relevered to McDonald's capital structure. McDonald's own adjusted beta is also 0.60. SBUX and CMG are a sensitivity only: their company-operated models carry more operating leverage, and all five peers imply ~0.80.

Figure 8: WACC build

	Value
Risk-free rate (10-year Treasury, 24-Sep-26 close)	5.18%
Equity risk premium	5.0%
Beta: franchise-heavy bottom-up (0.51 unlevered x 1.18)	0.60
Cost of equity	8.2%
Cost of debt: pre-tax (UST + 90bp) / after 22% tax	6.1% / 4.7%
Debt / capital (market values, debt at fair value)	18.5%
WACC	7.56%
Cross-check: MCD adjusted / raw beta	0.60 / 0.41
Sensitivity: beta 0.52 / 0.80 -> WACC	7.2% / 8.3%

Peer multiples (40% weight): \$248 on franchise-heavy peers

We compare MCD with five listed restaurant chains on forward P/E and trailing EV/EBITDA. Peer EVs exclude operating leases so they match EBITDA struck after rent, and each multiple is applied to the MCD metric of the same period. The target uses the three franchise-heavy peers; SBUX and CMG, company-operated growth names on 26-32x forward earnings, are shown as a memo.

Figure 10: Peer group (all prices at the 24 Sep 2026 close)

Company	Model	Mkt cap (\$bn)	Fwd P/E	EV/EBITDA*	Equity beta	Unlev. beta***	EPS growth**
Yum! Brands (YUM)	Franchised	37.5	21.6x	16.1x	0.55	0.44	n.m.
Restaurant Brands (QSR)	Franchised	32.2	16.7x	15.4x	0.53	0.41	14%
Domino's (DPZ)	Franchised	9.7	14.5x	14.1x	0.95	0.69	15%
Starbucks (SBUX)	Company-op.	106.7	31.9x	20.7x	0.97	0.90	n.m.
Chipotle (CMG)	Company-op.	40.5	25.6x	17.8x	0.94	0.94	18%
Franchise-heavy median (beta: mean)			16.7x	15.4x	0.68	0.51	14%
All-peer median		37.5	21.6x	16.1x	0.79	0.68	15%
McDonald's at \$237.02	Franchised	168.2	17.8x	13.6x	0.41 raw / 0.60 adj.	0.35	7%

*LTM, lease-adjusted (EV excludes operating lease liabilities). **Trailing / forward P/E - 1; n.m. for YUM (tax-flattered trailing EPS) and SBUX (restructuring-depressed). ***Raw beta unlevered at market D/E excl. leases, for MCD as for peers (from MCD's adjusted beta: 0.51); the WACC uses 0.60, a relevered equity beta. Source: Stock Analysis / S&P Global MI (24-Sep closes), 10-Qs, our calculations.

Figure 11: Implied value per share, franchise-heavy peers

Method	Multiple (min/med/max)	MCD metric	Value (min/med/max)
Forward P/E x NTM EPS	14.5x / 16.7x / 21.6x	\$13.35	\$193 / \$223 / \$288
EV/EBITDA x LTM EBITDA	14.1x / 15.4x / 16.1x	\$15.1bn	\$246 / \$273 / \$289
Comps value (50/50)			\$220 / \$248 / \$288
Memo: all five peers (quartiles)			\$248 / \$288 / \$334

Why franchise-heavy peers. They share McDonald's rent-and-royalty economics, yet QSR and DPZ imply ~14-15% EPS growth vs ~7% for MCD: a generous yardstick.

Why 50/50. EV/EBITDA neutralises the peers' higher leverage but flatters MCD, whose owned real estate means heavier D&A; P/E captures D&A, interest and tax but carries the peers' leverage. The biases offset, so each gets half (P/E alone: \$239 target; EV/EBITDA alone: \$259).

DCF VALUE

\$248.87

x 60%

COMPS VALUE

\$248.14

x 40%

TARGET PRICE

\$248.58

+4.9% upside

TOTAL RETURN

+8.1%

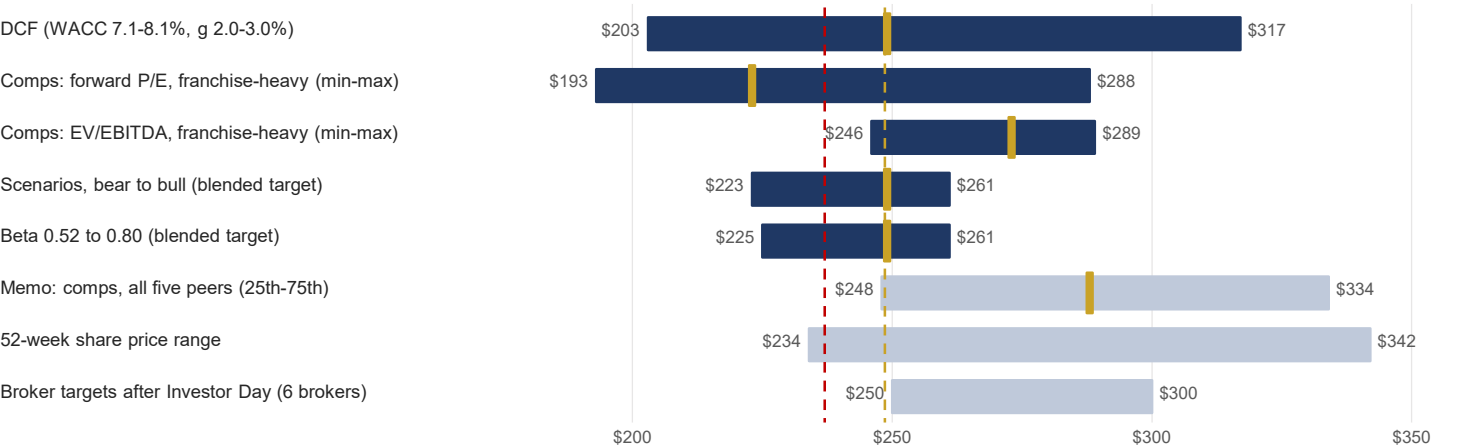
incl. 3.3% dividend yield

Rating logic. The 8.1% expected total return sits inside our Hold band (Buy needs 10% or more). The two methods agree within 1%, but a ~5% gap between target and price is within the margin of error of any valuation. We would move to Buy on evidence that U.S. traffic is stabilising, not on valuation alone.

Valuation ranges and sensitivities

The base case sits below our Buy threshold; the beta choice moves the target most

Figure 12: Valuation football field, US\$ per share



Gold tick = base value. Grey bars are memo items not used in the target. Source: our model; Stock Analysis / S&P Global MI (price range); broker targets reported 23-24 Sep 2026 (Baird \$250, JPMorgan \$260, TD Cowen \$270, RBC \$285, Oppenheimer \$295, Evercore ISI \$300).

Figure 13: DCF value per share, WACC vs terminal growth

WACC \ g	1.5%	2.0%	2.5%	3.0%	3.5%
6.56%	\$256	\$285	\$322	\$368	\$430
7.06%	\$229	\$253	\$281	\$317	\$363
7.56%	\$206	\$226	\$249	\$277	\$312
8.06%	\$187	\$203	\$222	\$245	\$273
8.56%	\$170	\$184	\$200	\$219	\$242

Green: Buy zone (target \$253 or more, total return 10%+). Red: Sell zone (\$206 or less, -10% or worse). Blue: base case. Total return includes the 3.3% dividend yield.

Figure 14: Blended target price (comps held at \$248)

WACC \ g	1.5%	2.0%	2.5%	3.0%	3.5%
6.56%	\$253	\$270	\$292	\$320	\$357
7.06%	\$237	\$251	\$268	\$289	\$317
7.56%	\$223	\$235	\$249	\$266	\$287
8.06%	\$211	\$221	\$233	\$246	\$263
8.56%	\$202	\$210	\$219	\$231	\$244

Figure 15: Scenario analysis (WACC 7.56% and terminal growth 2.5% in all three cases)

	Bear: traffic keeps falling	Base: our forecast	Bull: NEXT delivers
What happens	Value war, weak franchisee compliance; U.S. recovery slips past 2027	Recovery in 2027; margin at the low end of the 2030 target	Traffic returns; comps reach management's 3-4% range
Comparable sales, FY26 to FY30	1.0% rising to 2.0%	2.0% rising to 3.0%	2.5% rising to 3.5%
Adjusted operating margin, 2030	50.5%	53.0%	54.5%
FY30E EPS (annual growth FY25-30)	\$14.23 (3.1%)	\$16.21 (5.8%)	\$17.29 (7.2%)
DCF value per share*	\$211	\$249	\$268
Blended target (vs \$237.02)	\$223 (-5.9%)	\$249 (+4.9%)	\$261 (+10.2%)
Probability	25%	50%	25%

*Bear and bull DCF values are rescaled from the original scenario runs to the 7.56% WACC, holding each case's enterprise value relative to the base. The bear case also assumes fewer openings and restructuring of \$250m / \$200m / \$100m in 2026-28. Comps value moves with NTM EPS. Probability-weighted target: \$245.

Figure 16: Target price under each beta estimate

Beta estimate	Beta	WACC	DCF	Target	Total return	Rating
Franchise-heavy median	0.52	7.22%	\$270	\$261	13.4%	Buy
Primary: franchise-heavy mean (bottom-up)	0.60	7.56%	\$249	\$249	8.1%	Hold
75/25 blend with all peers	0.65	7.75%	\$238	\$242	5.3%	Hold
All five peers (bottom-up mean)	0.80	8.34%	\$209	\$225	-1.9%	Hold
Earlier method: average of three WACCs	-	8.10%	\$220	\$231	0.9%	Hold

What the ranges tell us

The discount rate matters as much as the business. Moving the WACC 0.5 points shifts the target by \$16 to \$19, more than moving from our base case to the bull case. With the 10-year Treasury near its highest since 2007, rates are a first-order risk for a stock with over 80% of its value in the terminal period.

Beta is the biggest single judgement. Our bottom-up beta (0.60) matches MCD's own adjusted beta. The franchise-heavy median would put MCD in Buy territory and the full peer set near today's price; we use the mean because the median of three discards Domino's higher operating risk.

Buy needs good news on traffic or lower rates. The base case is ~\$4 short of the Buy line (\$253); a WACC 0.5 points lower, or 0.5 points more long-run growth, crosses it. Only the harshest corner of the blended grid (8.56% WACC, 1.5% growth) reaches Sell.

Risks, catalysts and ESG

U.S. guest counts are the swing factor; the Q3 results are the next test

Figure 17: Key risks to our view

Risk	Level	What could happen	Effect on our value
U.S. traffic keeps falling	High	A value war, weak franchisee compliance on value pricing or a poor Q4 marketing reset pushes the recovery past 2027; our 2% FY26 and 2.5-3% later comps would be too high.	Bear case: target \$223
Interest rates and beta	High	The 10-year Treasury is ~5.2% and terminal value is ~81% of EV; MCD trades like a bond proxy. A higher beta (all five peers, 0.80) lifts the WACC to 8.4%.	WACC +0.5pp: DCF \$222, target \$233; all-peer beta: \$225
Franchisee economics and NEXT cost	Medium	\$8.5bn of support (rent relief and capital) through 2036, ~\$5bn by 2030. Rent relief cuts franchised revenue; payback for McDonald's is 5-6 years, and after-tax ROIC already fell from 25% to 20%.	2028-30 margin -1pp: target \$245
Execution and leadership	Medium	Four launches in one quarter slowed service. New U.S. president (Skye Anderson). Restructuring charges every year since 2023. France and China weak.	Delays the 2027 recovery
Consumer, costs and regulation	Medium	Pressure on low-income customers, GLP-1 drugs, beef inflation and minimum-wage rises squeeze franchisee cash flow (~12.5% of sales in the U.S.).	Lower comps and slower openings
Upside risk	-	Faster traffic recovery (beverages, chicken, loyalty) or falling bond yields.	Bull \$261; WACC -0.5pp: \$268

Figure 18: Catalyst calendar: what would support or challenge our estimates

When	Event	Supports our case if	Challenges it if
~4 Nov 2026	Q3 2026 results	U.S. comps no worse than the "slightly negative" guide, September positive, IOM and IDL accelerating	U.S. guest counts fall further, or international comps do not accelerate
Q4 2026	Value and marketing reset	Franchisee compliance on the under-\$3 tier rises from 60-65% and U.S. traffic turns positive	Competitors match on price and a value war squeezes franchisee cash flow
Feb 2027	FY26 results, 2027 outlook	G&A starts falling as restructuring ends; FCF conversion back in the mid-80s%	Restructuring charges extend beyond 2027
H1 2027	Menu roll-outs	Beverages across European IOM and hand-breaded chicken gain share	Beverage checks fade as the novelty wears off
End-2027 / 2028	Long-term targets	250m loyalty users (end-2027); ~98% franchised and 50,000 restaurants (2028)	Unit targets slip again (50,000 already moved to 2028)

Environmental, social and governance (ESG)

Environmental

Science-based targets (2018 base): cut Scope 1 and 2 and Scope 3 energy and industrial emissions 50.4% by 2030, cut farming and land-use (FLAG) emissions 16%, net zero by 2050. Beef dominates the footprint: by 2023 Scope 2 was down 38% but Scope 3 only 4%, so the supply-chain goal looks hard to meet.

Social

Franchisee relations are the key social asset and risk: value pricing needs franchisee buy-in (compliance is now part of business reviews) and NEXT relies on franchisee investment. Wage inflation, nutrition scrutiny and GLP-1 trends bear on the brand.

Governance

The CEO is also Chairman, so board independence matters. FY25 audit and internal-control opinions are clean. Book equity is negative after decades of buybacks, but the investment-grade rating is a stated priority. "Adjusted" EPS has excluded restructuring every year since 2023; we treat it as recurring.

Sources: McDonald's 2025 10-K (Purpose & Impact, audit report); SBTi-validated targets as reported in McDonald's Purpose & Impact Report 2023-24; Q2 2026 call.

Rating definitions and sources

Ratings are based on expected 12-month total return (price change plus dividends): Buy at +10% or more; Hold above -10% and below +10%; Sell at -10% or worse. Sources: McDonald's 2025 Annual Report and 10-K; Q2 2026 earnings release (4 Aug 2026), 10-Q and call; Investor Day transcript (23 Sep 2026); Stock Analysis / S&P Global Market Intelligence (prices, peer data, 24-25 Sep 2026); Revenue Management Solutions, Black Box Intelligence and National Restaurant Association data via ClearCOGS (Jul 2026); Circana via Restaurant Dive (Jan 2026); Placer.ai via Fast Casual (Sep 2026); bottom-up beta method after Damodaran (NYU Stern); 2026 proxy statement; CFA Institute, Equity Research Report Essentials; BIWS IB Interview Guide, modules 4.4 and 4.5; our financial model (v5). Revised 26 Sep 2026: all market inputs at the 24-Sep close (\$237.02 price vs a \$240.09 intraday print; all five peer prices; 5.18% 10-year Treasury vs 5.10% on 23-Sep); comps use franchise-heavy peers; the WACC uses a 0.60 bottom-up beta (7.56% vs 8.04%); exact rating bands; target \$251 to \$249; rating unchanged.

Disclaimer

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